The current crisis was specifically triggered by Pakistan's economic managers playing fast and loose with the IMF and reneging on promises they had agreed to implement. Initially, it was the Imran Khan that went against the agreed Fund programme and froze fuel prices in February 2022 in a bid to shore up popular support while it faced the threat of being ousted. That immediately led to a suspension of the much-needed IMF funds.

However, when Khan was ousted from power last April through a vote of no-confidence, the new government of Prime Minister Shehbaz Sharif also temporised for over a month on putting the programme back on track by bringing fuel prices in line with international rates. That further dented trust with the IMF. Eventually, new promises were made by then finance minister Ismail, but he was soon replaced by Dar, who promptly broke promises of not intervening in the currency markets in an attempt to shore up the value of the rupee, and not providing unfunded energy subsidies to businesses.

The cumulative effect of this reneging on an agreed 'reform' programme has been that the IMF has delayed its support. Adding misery to Pakistan's position is that bilateral donors, who often helped out the country in previous crises—China, Saudi Arabia, UAE among them—have made the resumption of the IMF programme a prerequisite for any further support. While China has sent a deposit of $700 million in February as part of a refinancing of $3.3 billion of debt that was to be due soon, the Sharif government has discovered that its oft-touted 'close ties' with Arab countries could not convince the latter to jump in with yet another bailout.

WIDESPREAD SOCIAL DISCONTENT

Meanwhile, as the country's fiscal situation becomes precarious, the real impact is being felt on the ground. Fuel price and transport cost increases, energy price hikes mandated by IMF conditionalities, a nearly 50 per cent devaluation of the rupee year-on-year and international inflation have served as the main drivers of skyrocketing domestic inflation that has the poor and the middle class crying out in anguish.

Even the IMF admits that the risk of "widespread social discontent and political instability" as a result of the fiscal belt-tightening is "high". "Social unrest fuelled by increasing prices and shortages of essentials, rising inequality, inadequate healthcare, financial and social scars from the prolonged pandemic, and heavier household debt burdens," it assesses, could "trigger political instability, capital outflows, higher unemployment and slower economic growth".

Unfortunately, aside from advocating more targeted social subsidies, the agency doesn't really have a solution to avert this risk. "At the end of the day, all IMF programmes are about austerity and slowing growth," says Husain. "This was inevitable. And at the moment, the Shehbaz Sharif government is simply trying to manage things, rather than solve the crisis." Then there is the lingering effect of the devastating floods that hit Pakistan in 2022, which caused endless misery as well as economic losses to the tune of billions of dollars.

"WE HAVE BEEN LIVING BEYOND OUR MEANS, CONSUMING MORE DOLLARS THAN WE HAVE EARNED. NOW WE FACE A DIFFICULT EXTERNAL ENVIRONMENT, WITH OTHERS UNWILLING TO BAIL US OUT"

ASAD SAYEED
Economist



In the meantime, the country's business representatives are also screaming blue murder. The soaring input costs, the lack of availability of foreign exchange for imports and the unprecedented interest rate hikes, they fear, will make them completely uncompetitive and make breaking free from this depression cycle unviable. "But no one in government is thinking that far ahead right now," says Husain.

But can Pakistan go the way of Sri Lanka? That is, could it default and go bankrupt? Most analysts, including Moody's, seem to feel that the possibility may be averted. "Could it default? Yes," says Husain. "Will it? It's unlikely."

That may be all that Dar too is hoping for as well. He is counting on the fact that the harsh economic actions taken in the past couple of weeks will be enough for the IMF to conclude its long-pending review and release the next tranche of funds. That, in turn, will unlock further multilateral and bilateral donor funds for propping up the economy as well.

"Had the government taken these actions earlier, as agreed with the IMF, we wouldn't have been in such a crisis," says Sayeed. "The worst of the inflationary effects would have been over and all these crises would not have come at the same time. But now we simply don't have any degree of freedom. Long-term adjustments will have to be made," he adds. "And it's not going to be smooth—it's going to be rough sailing."

The events in Pakistan are being keenly watched across the globe. While efforts are on to pull the nation back from the brink economically, the continuing volatility in Pakistan's domestic politics keeps threatening its revival. ■